

largest agri produce in India, in value terms above Rs 2.25 lakh crore (in August 2009), and the milk group contributes the most to the total output of the agriculture sector, surpassing the output value of wheat, rice and oilseeds. Says N.R. Bhasin, president Indian Dairy Association (IDA), "There is a neglect of the dairy sector, lack of investments to promote higher yield, policy lacunae regarding cattle feed and non-availability of credit to small producers."

The cooperatives and private players need to invest in the procurement network.



R.G. CHANDRAMOGAN
CHAIRMAN, HATSUN AGRO

The Government should invest heavily in animal feed, breeding and their health.



R.S. KHANNA
DAIRY CONSULTANT

the GDP, it has never been given more than 8 per cent of the total allocation for agriculture. Says Vyas, "Absence of significant initiatives after completion of Operation Flood in 1994-95 is a policy lacuna. Apart from lack of investment, we have dithered from the policy direction which we had followed during 1960s to the '90s."

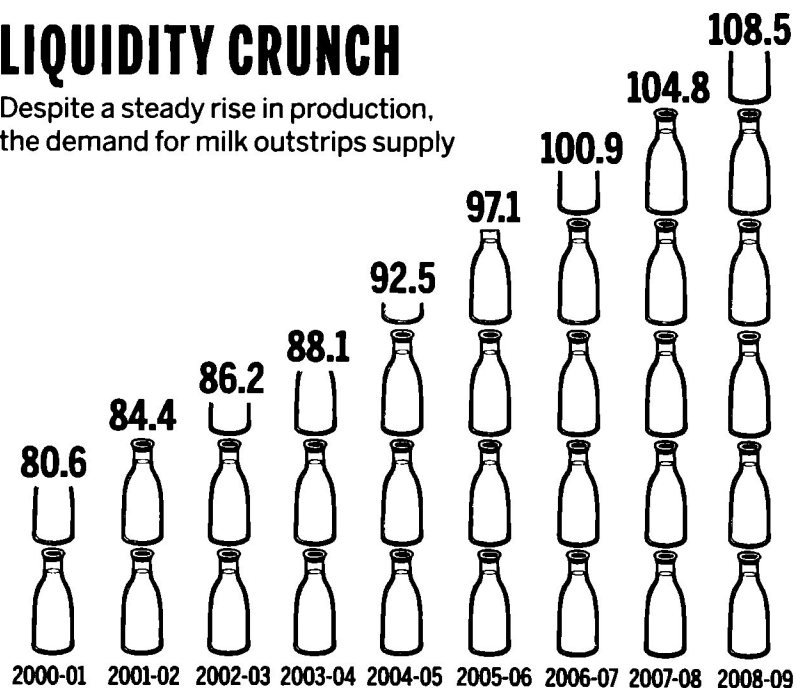
The January 2010 report of the advisory committee constituted by the Planning Commission on animal husbandry and dairying says that the

products," says Khanna.

The NDDB's proposed National Dairy Plan (NDP) is a ray of hope. It aims at meeting the projected demand of about 180 MMT of milk by 2021-22 with an estimated outlay of about Rs 17,371 crore. Increasing productivity, strengthening infrastructure for procurement, processing, marketing and quality assurance through institutional structures and human resource development are the NDP's major components. Vyas sug-

LIQUIDITY CRUNCH

Despite a steady rise in production, the demand for milk outstrips supply



Figures for milk production in million metric tonnes

Source: DAHD, Ministry of Agriculture and Dairy India

At 18-20 per cent, milk has the **LARGEST SHARE** among food items in the consumer basket, but receives a raw deal in budget allocation.

The management of the dairy sector in India may need an overhaul too. The Department of Animal Husbandry and Dairy Development has inherently been a part of the Ministry of Agriculture. "As part of the ministry, it is always discriminated against. The sector is in need of an owner who should seek a budget for its growth and development," says Khanna. Despite dairy contributing more than 30 per cent of the agriculture input to

overall investment made in livestock and dairy sector has been insufficient over the Plan period. With the meagre budgetary allocation made to the sector, it would not be possible to achieve the desired growth rate of 6 per cent targeted in the 11th Plan. "The Government should heavily invest in animal breeding, animal health and animal feed, and private investment is required in processing, marketing and value addition of dairy

gests, "The NDP must follow cooperative structure of dairying. Dr. Kurien's Anand model has yielded phenomenal growth." The proposed livestock policy also aims to strengthen milk production, procurement and processing facilities by synergising the cooperative and private sectors.

Ignoring the dairy sector can prove fatal and suicidal for national growth. It is important that it is given its rightful place and parentage. ■